



AFRICAN ALLIANCE
INSURANCE PLC

MANAGEMENT ACCOUNT

FOR THE PERIOD ENDED 30 SEPTEMBER 2023

RESULTS AT A GLANCE FOR THE PERIOD ENDED 30 SEPTEMBER 2023

Gross premium written

Gross premium income

Net premium income

Underwriting Expenses

Claims paid

Changes in contract liabilities

Underwriting Profit/(Loss)

Investment income & Other Income

Operating expenses

Profit/(Loss) before tax

Profit/(Loss) after tax

Financial Assets

Investment Properties

Total assets

Insurance contract liabilities

investment contract liabilities

Total liabilities

Total Equity

(Loss)/Earnings per share (basic) - in kobo

Solvency Margin

Asset Cover

CLAIMS/PREMIUM (LOSS RATIO)

UW EXPENSES/PREMIUM (EXPENSE RATIO)

COMBINED RATIO

UNDERWRITING MARGIN

OPERATING EXPENSES/PREMIUM

INVESTMENT INCOME/PREMIUM

PROFIT/(LOSS) MARGIN

RETURN ON ASSET

RETURN ON EQUITY

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AFRICAN ALLIANCE INSURANCE PLC
STATEMENT OF FINANCIAL POSITION
AS AT 30 September 2023

	Note	Company	
		ACTUAL	ACTUAL
		30-Sep-23 N'000	31-Dec-22 N'000
ASSETS			
Cash and cash equivalents	6	938,659	1,060,090
Financial assets	7		
'-fair value through profit or loss-equities		200,632	139,135
'-fair value through profit or loss-bonds		3,078,254	6,269,671
'- fair value through Other comprehensive income		29,846,816	29,846,418
'- Amortised cost		63,826	62,292
Trade receivables	8	-	-
Reinsurance assets	9	100,957	100,957
Other receivables and prepayments	10	654,291	691,956
Investment properties	11	11,080,750	11,080,750
Investment in subsidiary	12	105,000	105,000
Investment in Associate	13	-	-
Retirement benefit assets	22	-	-
Defferred Tax Asset	25b	146,476	146,476
Intangible assets	14	36,289	33,360
Property plant and equipment	15	720,274	763,376
Right of Use Assets	16	145,906	23,490
Statutory deposit	17	200,000	200,000
Total assets		47,318,127	50,522,971
LIABILITIES			
Insurance contract liabilities	18	40,629,233	39,882,054
Investment contract liabilities	19	3,107,092	4,089,863
Trade payable	20	658,463	600,675
Other payables and accruals	21	599,329	708,927
Employee benefit liabilities	22i	37,004	47,346
Borrowings	23	-	22,444
Tax payable	24	562,817	558,187
Deferred tax liability	25	92,107	92,107
Total liabilities		45,686,046	46,001,603
EQUITY			
Share capital	26	10,292,500	10,292,500
Share premium	26	14,365,133	14,365,133
Contingency reserves	27	1,971,848	1,922,695
Retained earnings	28	(40,396,180)	(37,457,344)
Fair value reserves	29	15,398,780	15,398,382
Total equity		1,632,081	4,521,367
Total equities and liabilities		47,318,127	50,522,971

Olabisi Adekola
Executive Director Finance

Joyce Ojemudia
MD/CEO

AFRICAN ALLIANCE INSURANCE PLC
STATEMENT OF COMPREHENSIVE INCOME
FOR THE PERIOD ENDED 30 SEPTEMBER 2023

	Note	Company		VARIANCE	
		ACTUAL	ACTUAL		
		30-Sep-23	30-Sep-22		
		N'000	N'000	N'000	
Gross premium written	30	4,915,276	5,214,766	(299,490)	-6%
Unearned premium		(367,882)	(308,706)	(59,176)	19%
Gross premium income		4,547,394	4,906,060	(358,666)	-7%
Insurance premium ceded to reinsurers	31	(56,082)	(126,475)	70,393	-56%
Net premium income		4,491,312	4,779,585	(288,273)	-6%
Fees and commission income	32	16,760	31,762	(15,002)	-47%
Net underwriting income		4,508,073	4,811,347	(303,274)	-6%
Insurance claims incurred and loss adjustments expenses	33	(6,196,316)	(6,094,834)	(101,483)	1.67%
Insurance claims incurred recovered from reinsurers		-	-	-	
Underwriting expenses	34	(1,032,661)	(946,498)	(86,163)	9%
Changes in long term insurance contracts	35	721,895	3,082,637	(2,360,742)	-77%
Net underwriting expenses		(6,507,082)	(3,958,695)	(2,548,387)	64%
Net underwriting profit		(1,999,009)	852,652	(2,851,662)	-334%
Other income	36	426,339	289,784	136,555	47%
Impairment charges		-	-	-	#DIV/0!
Fair value gain/(loss) on investment properties		-	-	-	
Fair value (gain)/loss (FVTPL)	37	32,748	(194,882)	227,630	-117%
Investment income	38	713,344	741,144	(27,800)	-4%
Profit/(Loss) from investment contracts		(48,940)	(71,468)	22,528	-32%
Share of profit of equity accounted investee		-	-	-	#DIV/0!
Employee benefit expenses	41	(727,094)	(632,012)	(95,082)	15%
Other operating and administrative expenses	42	(1,290,118)	(1,097,595)	(192,523)	18%
Impairment loss Allowance (ECL)	43	7,679	18,775	(11,096)	0%
Finance cost	44	-	-	-	#DIV/0!
Profit/(Loss) before tax		(2,885,051)	(93,602)	(2,791,449)	2982%
Income tax expense	45	(4,631)	(2,345)	(2,286)	97%
Profit/(Loss) for the year		(2,889,681)	(95,947)	(2,793,735)	2912%
Profit/(Loss) attributable to:					
- Owners of the parent				-	
- Non-controlling interests				-	
Other comprehensive income					
<i>Items that may be subsequently reclassified to profit or loss</i>					
				-	
				-	
Foreign exchange translation gain/(loss)				-	
		-	-	-	
Items that will not be subsequently reclassified to profit or loss					
				-	
Gain on revaluation of property, plant and equipment (net of taxes)		-	-	-	
Additional reserve on sale and reacquisition of investment in associate		-	-	-	
Change in value of unquoted equities FVOCI (net of taxes)		-	-	-	
		-	-	-	
		-	-	-	
Other comprehensive income for the year		-	-	-	
Total comprehensive income for the year		(2,889,681)	(95,947)	(2,793,735)	2912%
Total comprehensive income attributable to:					
- Owners of the parent		(2,889,681)	(95,947)	(2,793,735)	2912%
- Non-controlling interests		(2,889,681)	(95,947)	(2,793,735)	2912%

AFRICAN ALLIANCE INSURANCE PLC
STATEMENT OF CHANGES IN EQUITY - COMPANY
FOR THE PERIOD ENDED 30 SEPTEMBER 2023

	Share capital N'000	Share premium N'000	Contingency reserve N'000	Fair value reserve N'000	Retained earnings N'000	Total N'000
01-Jan-23	10,292,500	14,365,133	1,922,694	15,398,382	(37,457,344)	4,521,365
<i>Total comprehensive income for the year</i>						-
Treasury shares						-
Premium on acquisition of Associate						-
Profit for the year	-				(2,889,681)	(2,889,681)
Other comprehensive income for the year	-			398		398
Total Comprehensive income for the period	-	-	-	398	(2,889,681)	(2,889,283)
<i>Transactions with owners, recorded directly in equity</i>						
Transfer to contingency reserve	-		49,153		(49,153)	-
Total transactions with owners, recognised directly in equity	-	-	49,153	-	(49,153)	-
30-Sep-23	10,292,500	14,365,133	1,971,847	15,398,780	(40,396,178)	1,632,082

STATEMENT OF CHANGES IN EQUITY - COMPANY
FOR THE PERIOD ENDED 31 DECEMBER 2022

	Share capital N'000	Share premium N'000	Contingency reserve N'000	Fair value reserve N'000	Retained earnings N'000	Total N'000
01-Jan-22	10,292,500	14,365,133	1,854,545	1,616,522	(32,421,384)	(4,292,684)
<i>Total comprehensive income for the period</i>						-
Treasury shares						-
Premium on acquisition of Associate						-
Profit for the year	-				(4,967,811)	(4,967,811)
Other comprehensive Loss for the year				13,781,860		13,781,860
Total Comprehensive income for the period	-	-	-	13,781,860	(4,967,811)	8,814,049
<i>Transactions with owners, recorded</i>						
Transfer to contingency reserve			68,149		(68,149)	-
Total transactions with owners, recognised directly in	-	-	68,149	-	(68,149)	-
31-Dec-22	10,292,500	14,365,133	1,922,694	15,398,382	(37,457,344)	4,521,365

AFRICAN ALLIANCE INSURANCE PLC

STATEMENT OF CASH FLOWS
FOR THE PERIOD ENDED 30 SEPTEMBER 2023

	Company	
	30-Sep-23 N'000	31-Dec-22 N'000
Cash flows from operating activities		
Cash premium received	4,977,207	6,638,505
Premium received yet to be allocated	61,931	-
Cash received from deposit contract liabilities	344,391	654,546
Cash withdrawals from deposit contract liabilities	(1,376,175)	(55,411)
Cash Claims recovered	-	131,561
Dividend received	8,187	14,809
Claims paid	(5,095,124)	(9,475,989)
Cash paid to reinsurers/ coinsurers	(56,082)	(384,703)
Commission received	16,760	62,570
Maintenance expenses paid	(417,474)	(649,356)
Acquisition costs	(615,187)	(614,081)
Employee benefits paid	(727,094)	(953,791)
Other operating expenses paid	(1,095,599)	(866,573)
Other income received	85,904	106,761
Interest received	705,156	974,906
Income tax paid	-	(30,000)
Net cash from operating activities	(3,183,197)	(4,446,246)
Cash flow from investing activities:		
Purchases of plant and equipment	(67,880)	(50,595)
Purchase of intangible assets	(13,438)	(18,857)
Capital Improvement of investment properties	-	-
Proceeds from disposal of property and equipment	-	930
Proceeds from disposal of investment in associate company	0	-
Capital injection made to subsidiary	-	-
Proceeds from disposal of investments-equities FVTPL	-	-
Purchase of financial assets- Bonds FVTPL	(120,000)	(935,352)
Purchase of financial assets - Amortised cost	-	-
Redemption of financial assets - Bonds	3,470,373	5,292,496
Redemption of financial assets - Amortised cost	-	24,327
Right of Use	(195,935)	(62,129)
	-	-
Net cash used in investing activities	3,073,121	4,250,820
Cash flow from financing activities:		
Purchase/Proceeds from disposal of associate	-	-
Repayment of borrowings	(22,444)	(42,124)
Proceeds from borrowings	-	-
Net cash used in financing activities	(22,444)	(42,124)
Net increase/(decrease) in cash and cash equivalents	(132,519)	(237,550)
Cash and cash equivalent at beginning of year	1,079,425	1,316,975
Net increase/decrease in cash and cash equivalents	(132,519)	(237,550)
Cash and cash equivalent at end of period	946,906	1,079,425

REVENUE ACCOUNT

FOR THE PERIOD ENDED 30 SEPTEMBER 2023

	INDIVIDUAL LIFE N'000	GROUP LIFE N'000	ANNUITY N'000	TAKAFUL N'000	ESUSU	30-Sep-23 N'000
Gross Premium written	1,812,446	2,343,825	26,247	437,766	294,991	4,915,276
Unearned Premium		(367,882)				(367,882)
Gross Premium Income	1,812,446	1,975,944	26,247	437,766	294,991	4,547,394
Reinsurance Expense		(56,082)	-	-	-	(56,082)
Net Premium Income	1,812,446	1,919,862	26,247	437,766	294,991	4,491,312
Fees and Commission income	662	16,098	-	-	-	16,760
NET UNDERWRITING INCOME	1,813,109	1,935,960	26,247	437,766	294,991	4,508,073
<u>Insurance benefits</u>						-
Net Claims expenses	(1,377,610)	(545,911)	(3,000,902)	(404,246)	233,545	(5,095,124)
Reinsurance claims		-	-	-		-
Outstanding Claims & IBNR	(561,471)	(539,722)				(1,101,193)
Changes in contract liabilities	586,554		135,341		-	721,895
Net claims expenses	(1,352,527)	(1,085,633)	(2,865,561)	(404,246)	233,545	(5,474,421)
<u>Underwriting Expenses:</u>						-
Acquisition expenses	(262,714)	(352,473)	-	-	-	(615,187)
Maintenance expenses	(157,871)	(244,816)	(827)	(13,783)	(178)	(417,474)
	(420,585)	(597,288)	(827)	(13,783)	(178)	(1,032,661)
Underwriting Profit/(Loss)	39,997	253,039	(2,840,140)	19,738	528,358	(1,999,009)
Investment Income	71,334	71,334	499,341	35,667	35,667	713,344
Operating Expenses	(887,573)	(887,573)	(40,344)	(100,861)	(100,861)	(2,017,212)
Other Line items	31,337	31,337	338,440	8,357	8,357	417,827
Profit/(Loss) Before Tax	(744,905)	(531,863)	(2,042,704)	(37,099)	471,521	(2,885,051)

AFRICAN ALLIANCE INSURANCE PLC

NOTES TO THE FINANCIAL STATEMENTS

1. General Information

African Alliance Insurance Company is a public limited company incorporated and domiciled in Nigeria. The registered office is located at 54 Awolowo Road, Ikoyi, Lagos.

The company is principally engaged in the business of providing risk underwriting for life, related financial and pension services, aviation and hospitality services to its customers.

2. Summary of significant accounting policies

The principal accounting policies applied in the preparation of these financial statements are disclosed under General information on the Reporting Entity and Summary of Significant Accounting Policies. These policies have been consistently applied to all the years presented unless otherwise stated.

3 Solvency

The assets backing the life funds are as follows:

	Company	
	2023	2022
	N000	N000
Government Bonds	3,078,254	6,269,671
Cash and bank balances	938,659	1,060,090
Investment in quoted equity	200,632	139,135
Total	4,217,545	7,468,896

4 Management of Financial risk

The Group is exposed to various financial risks in connection with its current operating activities, such as foreign currency risk, interest rate risk, credit risk, market risk and liquidity risk. These risks contribute to the key financial risk that the proceeds from the Group's financial assets are insufficient to fund the obligations arising from insurance policy contracts.

The Company manages these risks through the activities of the Audit Committee and the Investment Committee. Each committee meets at least four times per annum to discuss financial risk issues. Management is responsible for implementing recommendations that have been agreed and reporting back to the relevant committee.

The Audit Committee is a committee of the Board of African Alliance Insurance Plc and is responsible for the implementation and monitoring of overall risk management, internal financial controls and financial and actuarial reporting within the Group. The main responsibilities of this Committee are:

- Setting and overseeing the overall standard for financial and actuarial reporting, risk management and internal controls within the Group;
- Monitoring the effectiveness of business risk management processes in the Group;
- Reviewing and assessing the quality of the work done by professionals responsible for financial and actuarial reporting, risk management and internal control;
- Engaging in discussions with external and internal auditors on the quality and acceptability of the control environment and reporting

The Investment Committee is a management committee and is responsible for

- ensuring that insurance and investment contract liabilities are matched with appropriate supporting assets based on the type of benefits payable to the contract holders;
- ensuring that the long-term investment return on assets supporting policy liabilities are sufficient to fund policyholders' reasonable benefit expectations and the shareholders' profit entitlement;
- the implementation and monitoring of the asset management process to ensure that the risks arising from trading positions are effectively managed within the pre-determined risk parameters.

4 Market risk

The business's operations are exposed to market risk. Market risk is the risk of adverse financial impact as a consequence of market movements such as currency exchange rates, interest rates and other price changes. Market risks arises due to fluctuations in both value of assets and liabilities. The company has established policies and procedures in order to manage market risk.

The acquisition of policyholders' assets is based on the design of the product and marketing descriptions. Within these parameters, investments are managed with the aim of maximising policyholder returns while limiting risk to acceptable levels within the framework of statutory requirements. The focus of risk measurement and management is to ensure that the potential risks inherent in an investment are reasonable for the future potential reward, exposure to investment risk is limited to acceptable levels, premium rates are adequate to compensate for investment risk and an adequate reserving policy is applied for long-term policy liabilities. The diverse product range requires a variety of approaches to the management of risk; these range from portfolio management practices and techniques such as optimization of expected risks and rewards based on investment objectives, to asset-liability matching in support of statement of financial position obligations.

4 Foreign exchange risk

Foreign exchange risk is the risk associated with movement in the foreign exchange prices from foreign currency denominated transactions which the Group is exposed to.

The Group is exposed to foreign exchange currency risk primarily through certain transactions denominated in foreign currency. The Group is exposed to foreign currency denominated in dollars and Pound through bank balances in other foreign currencies.

The Group manages its exposure to foreign exchange risk using sensitivity analysis to assess potential changes in the value of foreign exchange positions and impact of such changes on the Group's income. There have been no major changes from the previous year in the exposure to risk or policies, procedures and methods used to measure the risk.

4.3 Liquidity risk

Liquidity risk is the risk that the Company is unable to meet its obligations when they fall due as a result of policyholder benefit payments, cash requirements from contractual commitments, or other cash outflows, such as debt maturities. Such outflows would deplete available cash resources for operational, trading and investments activities. In extreme circumstances, lack of liquidity could result in reductions in the consolidated balance sheet and sales of assets, or potentially an inability to fulfil policyholder commitments. The risk that the Group will be unable to do so is inherent in all insurance operations and can be affected by a range of institution-specific and market-wide events including, but not limited to, credit events, merger and acquisition activity, systemic shocks and natural disasters.

Monitoring and reporting take the form of cash flow measurement and projections for the next day, week and month respectively, as these are key periods for liquidity management. The starting point for those projections is an analysis of the undiscounted contractual cashflow at maturity of the financial liabilities and the expected collection date of the financial assets.

All policyholder funds are invested in appropriate assets to meet the reasonable benefit expectations of policyholders, which include the expectation that funds will be available to pay out benefits as required by the policy contract. The disclosure in note 6 demonstrate that the Group has significant liquid resources. The value for policyholders' liabilities and the assets backing them are as per the carrying amount in the statement of the financial position.

The maturity profile of the total policyholders' liabilities and assets backing them is shown below:

Company							
30-Sep-23	Carrying amount	0-3 months	3 to 9 months	9 to 1 year	1 to 5 years	> 5 years	Total
	N'000	N'000	N'000	N'000	N'000	N'000	N'000
Trade payables	658,463	65,846	164,616	230,462	98,769	98,769.47	658,463
Other liabilities	1,199,150	119,915	299,788	419,703	179,873	179,872.53	1,199,150
Investment linked contract liabilities	3,107,092	310,709	776,773	1,087,482	466,064	466,063.84	3,107,092
Total financial liabilities	4,964,706	496,471	1,241,176	1,737,647	744,706	744,706	4,964,706
Cash and bank balances	938,659	93,866	234,665	328,531	140,799	140,798.90	938,659
Marketable investment securities	33,125,702	1,656,285	993,771	2,318,799	1,656,285	26,500,561	33,125,702
Trade receivables	-	-	-	-	-	-	-
Reinsurance assets	100,957	-	-	100,957	-	-	100,957
Other receivables	654,291	65,429	163,573	229,002	98,144	98,143.58	654,291
Total financial assets	34,819,608	1,815,580	1,392,009	2,977,288	1,895,228	26,739,504	34,819,608
Net financial assets and liabilities	29,854,903	1,319,110	150,833	1,239,642	1,150,524	25,994,797	29,854,904
Insurance contract liabilities - Life fund	(40,629,233)	(1,629,122)	(2,172,163)	(3,475,460)	(3,584,068)	(29,768,420)	(40,629,233)
Net policyholders assets and liabilities	(10,774,330)	(310,012)	(2,021,330)	(2,235,819)	(2,433,545)	(3,773,623)	(10,774,329)

31-Dec-22	Carrying amount	0-3 months	3 to 9 months	9 to 1 year	1 to 5 years	> 5 years	Total
	N'000	N'000	N'000	N'000	N'000	N'000	N'000
Trade payables	600,675	180,202	210,236	210,236	-	-	600,675
Other liabilities	1,336,905	267,381	334,226	401,071	334,226	-	1,336,905
Investment linked contract liabilities	4,089,863	613,479	1,022,466	613,479	1,840,438	-	4,089,863
Total financial liabilities	6,027,443	1,061,063	1,566,928	1,224,787	2,174,665	-	6,027,443
Cash and bank balances	1,060,090	159,013	265,022	371,031	159,013	106,009	1,060,090
Marketable investment securities	36,255,224	1,812,761	1,268,933	2,719,142	5,075,731	25,378,657	36,255,224
Trade receivables	-	-	-	-	-	-	-
Reinsurance assets	100,957	-	-	100,957	-	-	100,957
Other receivables	691,956	103,793	172,989	242,184	103,793	69,196	691,956
Total financial assets	38,108,226	2,075,568	1,706,944	3,433,315	5,338,538	25,553,861	38,108,226
Net financial assets and liabilities	32,080,784	1,014,505	140,016	2,208,528	3,163,874	25,553,861	32,080,784
Insurance contract liabilities - Life fund	(39,882,054)	(1,127,348)	(1,503,131)	(2,405,010)	(2,480,166)	(32,366,398)	(39,882,054)
Net policyholders assets and liabilities	(7,801,270)	(112,843)	(1,363,115)	(196,482)	683,707	(6,812,537)	(7,801,270)

The maturity of non-derivative financial liabilities and financial assets have been compiled based on undiscounted cash flows, which include estimated interest payments.

4.4 Capital management policies and procedures

The Company manages its capital to ensure that the company will be able to continue as going concern and comply with the regulators' capital requirements while maximising the return to stakeholders through the optimisation of the debt and equity balance. The capital structure of the company consists of equity attributable to equity holders of the parent, comprising issued capital, reserves and retained earnings.

The Company's Issued share capital as at 30 September, 2023 is N10,292,500 (2022:N10,292,500). The company is in compliance with the minimum capital requirement of N2 billion as stipulated by the Insurance Act.

	2023	2022
	N'000	N'000
Share capital	10,292,500	10,292,500
Share premium	14,365,133	14,365,133
Contingency reserves	1,971,848	1,922,695
Fair value reserves	-	-
Translation reserve	-	-
Retained earnings	(40,396,180)	(37,457,344)
	(13,766,699)	(10,877,014)

The Company's policy is to maintain a strong capital base to maintain investor, creditor and market confidence and to sustain the future development of the business. Management uses regulatory capital ratios to monitor its capital base. Capital is allocated between specific operations and activities and to a large extent driven by optimisation of the return achieved on the capital allocated. The amount of capital allocated to each activity is based primarily on the regulatory capital. In some cases the regulatory requirements do not fully reflect the varying degree of risk associated with different activities. In such cases, the capital requirements may be flexed to reflect differing risk profiles, subject to the overall level of capital to support a particular operation not falling below the minimum required for regulatory purposes. The process of allocating capital to specific operations or activities is undertaken independently of those responsible for the operation by a committee.

The National Insurance Commission (NAICOM) specifies the minimum amount and type of capital that must be held by the company to cover the insurance liabilities. The regulator measures the financial strength of insurance companies using the capital adequacy requirements for the category of company. This test compares insurer's capital against the risk profile.

4.5 Company Hypothecation

Item		Life	Annuity	Investment Contract	Total (Admissible)
Insurance Contract Liabilities		10,860,813	29,768,420		40,629,233
Investment Contract Liabilities			-	3,107,092	3,107,092
Gross Insurance Funds		10,860,813	29,768,420	3,107,092	43,736,326
Less					
Reinsurance Receivables					
1	Reinsurance expenses prepaid		-		-
2	Reinsurers' share of Claims expense paid	-	-		-
3	Reinsurers' share of Unearned premium reserve	(17,070)	-		(17,070)
4	Reinsurers' share of Incurred but not reported claims	(83,887)	-		(83,887)
5	Others (specify)	-	-	-	-
Net Insurance Funds		10,759,856	29,768,420	3,107,092	43,635,369
Admissible Assets					
1	Cash and Cash Equivalents	568,893	358,281	11,485	938,659
2	Treasury bills and Government Bonds	992,583	492,839	1,656,658	3,142,080
3	Corporate Bonds & Debenture				-
4	Quoted Shares	161,683	-	38,949	200,632
5	Unquoted Shares	1,420,000	160,000	300,000	1,880,000
6	Loan to Policy holders	158,772	-		158,772
7	Investment Properties	1,790,000	550,000	1,100,000	3,440,000
	Total Admissible Assets	5,091,931	1,561,120	3,107,092	9,760,143
SURPLUS(DEFICIT) IN ASSETS COVER		(5,667,925)	(28,207,300)	(0)	(33,875,226)

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NOTES TO THE FINANCIAL STATEMENTS

4.6 Minimum Capital requirement

The company did not meet the minimum capital requirement of N2 billion as stipulated by the Insurance Act

The Solvency Margin for African Alliance Insurance Plc. as at 30 September 2023 is as follows:			
	Total	Admissible	Inadmissible
Assets	N'000	N'000	N'000
Cash & Cash Equivalent	938,659	938,659	-
Financial Assets	33,189,528	33,189,528	-
Trade Receivable	-	-	-
Reinsurance Assets	100,957	100,957	-
Other Receivable & Prepayment	654,291	175,381	478,910
Investment properties	11,080,750	4,106,667	6,974,083
Investment in Subsidiary	105,000	-	105,000
Investment in Associate	-	-	-
Retirement benefit assets	-	-	-
Deffered Tax Asset	146,476	-	146,476
Intangible assets	36,289	36,289	-
Right of Use Assets	145,906	-	145,906
Property Plant & Equipment	720,274	720,274	-
Statutory Deposit	200,000	200,000	-
Total Assets (a)	47,318,127	39,467,753	7,850,374
Liabilities			
Insurance Contract Liabilities	40,629,233	40,629,233	-
Investment Contract Liabilities	3,107,092	3,107,092	-
Employee Benefit	37,004	37,004	-
Borrowing	-	0	-
Trade Payable	658,463	658,463	-
Other Payables & Accruals	599,329	599,329	-
Dividend Payable	-	-	-
Deffered Tax Liabilities	92,107	-	92,107
Tax Payable	562,817	562,817	-
Total Liabilities (b)	45,686,046	45,593,939	92,107
SOLVENCY MARGIN (a-b)		(6,126,186)	
Subject to Higher of:			
15% of Gross premium income	737,291		
or			
Minimum Capital Requirement		2,000,000	
Surplus/(Deficit) In Solvency Margin		(8,126,186)	
Gross Solvency ratio		-306%	
Net Solvency ratio		-406%	

5.0 The minimum capital required is compared with the equity maintained during the period in the table below:

	ACTUAL	
	30-Sep-23	31-Dec-22
	N'000	N'000
Shareholders' equity	1,632,081	4,521,367
Capital requirement on regulatory basis	2,000,000	2,000,000
Shortfall in Solvency Margin	(8,126,186)	(4,041,905)
Shortfall in Asset cover for contract liabilities	(33,875,226)	(29,810,423)

AFRICAN ALLIANCE INSURANCE PLC

**NOTES TO THE FINANCIAL STATEMENTS
FOR THE PERIOD ENDED 30 SEPTEMBER 2023**

6 Cash and cash equivalent

	Company	
	Actual	Actual
	30-Sep-23	31-Dec-22
	N'000	N'000
Cash in bank (note 6.2)	201,925	353,703
Short-term bank deposits	736,734	706,387
	<u>938,659</u>	<u>1,060,090</u>

Short Term Bank Deposit

Short Term Bank Deposit	744,981	725,722
ECL Impairment 01 January	(19,336)	(8,345)
Additional ECL Impairment during the year	11,090	(10,991)
	<u>736,734</u>	<u>706,386</u>

6.1 Movement in ECL adjustment on cash and cash equivalent is detailed below

	30-Sep-23	31-Dec-22
	N'000	N'000
At 1 January	19,336	8,345
Movement for the year	(11,090)	10,991
At 30 September	<u>8,246</u>	<u>19,336</u>

6.2 Cash and cash equivalent for the purpose of cashflow

Cash and cash equivalents includes cash in hand, deposits held at call with banks, other short-term highly liquid investments with original maturities of three months or less. They include:

	Company	
	Actual	Actual
	30-Sep-23	31-Dec-22
	N'000	N'000
Cash in bank	201,925	353,703
Short-term bank deposits	744,981	725,722
	<u>946,906</u>	<u>1,079,425</u>

7 Financial assets

7.1

FVTPL - Quoted equities

These are quoted equities in the Nigerian Stock Exchange, the fair value were determined by reference

	Company	
	Actual	Actual
	30-Sep-23	31-Dec-22
	N'000	N'000
Quoted equity securities	200,632	139,135
	<u>200,632</u>	<u>139,135</u>

7.1i	Movement in FVTPL - Quoted equities		
	At 1 January	139,135	147,544
	Disposal	-	-
	Fair value changes	<u>61,497</u>	<u>(8,409)</u>
	At 30 September	<u><u>200,632</u></u>	<u><u>139,135</u></u>
7.2	FVTPL - Debt Securities (bonds)		
	Government and corporate bonds	3,268,165	6,156,579
	Fair value changes	<u>(189,912)</u>	<u>113,092</u>
		<u><u>3,078,254</u></u>	<u><u>6,269,671</u></u>
7.2i	Movement in FVTPL - Debt Securities (bonds)		
	At 1 January	6,269,672	10,414,572
	Additions	120,000	935,352
	Redemption/disposal	(3,121,506)	(5,193,344)
		-	-
	Fair value changes	<u>(189,912)</u>	<u>113,092</u>
		<u><u>3,078,254</u></u>	<u><u>6,269,672</u></u>
7.2ii	Net fair value gains/(loss)		
	Fair value gain on equity shares	61,497	(14,441)
	Fair value gain on Bonds	<u>(189,912)</u>	<u>113,092</u>
		<u><u>(128,415)</u></u>	<u><u>98,651</u></u>
	Fair value movement		
	As 1 January	338,838	225,746
	Fair value changes	<u>(189,912)</u>	<u>113,092</u>
	At 30 September	<u><u>148,926</u></u>	<u><u>338,838</u></u>
7.3	FVOCI (Unquoted Equities)		
	The unquoted equities carried as fair value through Other Comprehensive Income financial assets were fair valued using the fund prices advised by the investee companies		
	Equity securities	29,846,816	29,846,418
		<u><u>29,846,816</u></u>	<u><u>29,846,418</u></u>

7.3i Movement in unquoted equities FVOCI

At 1 January	29,846,418	16,084,889
Additions		
Impairment (charge)/write back		
Fair value loss at the date of repurchase Note 29		
Disposal	-	-
Fair value changes	398	13,761,529
	<u> </u>	<u> </u>
At 30 September	<u>29,846,816</u>	<u>29,846,418</u>

7.4 Amortised cost - Debt securities

Commerical paper	(0)	(0)
Corporate bond	58,273	57,576
Promissory notes	-	-
Treasury Bills	6,553	6,205
ECL Adjustment	(999)	(1,489)
	<u> </u>	<u> </u>
	<u>63,826</u>	<u>62,292</u>

7.4i Movement in Amortised cost - Debt securities

At 1 January	63,781	88,108
Addtions	1,044	-
Redemption		(24,327)
ECL Adjustment	(999)	(1,489)
At 30 September	<u> </u>	<u> </u>
	<u>63,826</u>	<u>62,292</u>

7.4ii Movement in ECL adjustment on Amortised cost - Debt securities

At 1 January	(1,489)	(1,932)
Movement for the year	490	443
At 30 September	<u> </u>	<u> </u>
	<u>(999)</u>	<u>(1,489)</u>

8 Trade receivables
Premium receivables
Trade debtors
Impairment allowance

9 Reinsurance assets: This is analysed as follows

Reinsurance receivables
Reinsurance share of claims Incurred But Not Reported (IBNR) (note 9 (i))
Prepaid reinsurance (note 9(ii))

**NOTES TO THE FINANCIAL STATEMENTS
FOR THE PERIOD ENDED 30 SEPTEMBER 2023**

		Company	
		Actual 30-Sep-23 N'000	Actual 31-Dec-22 N'000
9 (i)	Movement in reinsurance share of claims Incurred But Not Reported (IBNR)		
	At 1 January	83,887	91,533
	Changes during the year	-	(7,646)
	At 30 September	83,887	83,887
9 (ii)	Prepaid reinsurance		
	At 1 January	17,070	21,583
	Additions in the year	-	
	Amortised in the year-reinsurance expense (see note 31)		(4,513)
	At 30 September	17,070	17,070
10	Other receivables and prepayments		
		Actual 30-Sep-23 N'000	Actual 31-Dec-22 N'000
	Mortgage Loans- staff	11,816	15,357
	Policy loans	177,179	178,360
	Due from agents	58,907	60,403
	Investment Income Recievable	0	0
	Prepayment Rent	8,767	4,416
	Prepayment - Others	100,730	86,377
	Staff Loans & Receivables	7,664	7,061
	Deposit for Investment (note 10.2)	-	-
	Due from related company (note 10.3)	1,600,267	1,600,267
	Stock of raw materials & consumables	1,648	2,126
	Staff share loans	2,131,790	2,131,790
	Other receivables	336,790	383,166
		4,435,559	4,469,323
	Impairment allowance (note 10.1d)	(3,781,268)	(3,777,367)
		654,291	691,956
	Current	(37,665)	(1,018,235)
	Non-current	691,956	1,710,190
		654,291	691,955

	Actual 30-Sep-23 N'000	Company	Actual 31-Dec-22 N'000
10.1a The Movement in Other receivables and prepayments			
At 1 January	4,469,323		6,516,746
Transfer from Loans and Receivables			
Additional loans and receivables			
Balances written off against provision			
Movement during the year	(33,763)		(2,047,423)
At 30 September	4,435,559		4,469,323
10.1b Staff Share Loan:			
This amount is made up of African Alliance Company Plc share purchased during the private placement exercise on behalf of staff of the company and this has been fully impaired.			
	Actual 30-Sep-23 N'000	Company	Actual 31-Dec-22 N'000
10.1c The Movement in impairment allowance is as follows			
At 1 January	3,777,367		3,806,556
Reclassification to/from loans and receivables			
Impairment on loans and receivables (write off/write back)	3,901		(29,189)
Impairment on Short term loan			
Provision no longer required on Frenchies taken over by AAIC in 2017			
Impairment on Other receivables			
Balances written off against provision			
At 30 September	3,781,268		3,777,367
10.1d Impairment allowance			
Policy Loans	18,407		18,407
Mortgage staff loans	2,872		2,935
Due from agents	4,199		236
Investment income receivables	-		-
Deposit for investment	-		-
Due to related company	1,600,267		1,600,267
Staff Account Receivable	7,002		7,002
Staff Share loan	2,131,790		2,131,790
Other receivables	16,729		16,729
	3,781,267		3,777,367
	Actual 30-Sep-23 N'000	Company	Actual 31-Dec-22 N'000
10.2 Deposits for shares/Investment			
First Ghana Buidling Company Limited, Ghana			
Paramount Hotel,Ghana			
Fountain Trust Limited	-		-
Golden Securities Limited	-		-
Ghana Life Insurance Limited	-		-
	-		-
10.2i Movement in Deposit for shares			
At 1 January	-		1,628,616
Additional injection of funds during the year			
Impairment allowance	-		(1,628,616)
At 30 September	-		-
10.3 Due from related company			
Universal Insurance Company Plc	1,600,267		1,600,267
10.4 Movement in impairment allowance			
At 1 January	1,600,267		1,600,267
Impairment charge/(written back) for the year			-
At 30 September	1,600,267		1,600,267

AFRICAN ALLIANCE INSURANCE PLC

**NOTES TO THE FINANCIAL STATEMENTS
FOR THE PERIOD ENDED 30 SEPTEMBER 2023**

	Actual 30-Sep-23 N'000	Company	Actual 31-Dec-22 N'000
11 Investment properties			
At 1 January	11,080,750		8,030,000
Acquisition/improvement	-		-
Disposal	-		-
Transfer to Land & Building	-		-
Fair value gain on revaluation	-		3,050,750
	<u>11,080,750</u>		<u>11,080,750</u>
At 30 September			
Of the investment properties, the following relates to insurance Funds:			
Insurance funds	8,108,750		8,466,602
Shareholders funds	<u>2,972,000</u>		<u>2,614,148</u>
	<u>11,080,750</u>		<u>11,080,750</u>

The properties were valued by A.C. Otegbulu & Partners Estate surveyors & Valuers, a registered member of Financial Reporting Council of Nigeria (FRCN/2013/NIESV/0000001582), in December, 2022 on the basis of determining the open market value of the investment properties. The open market value of all the properties were determined using recent comparable market prices.

The properties are held for long term capital appreciation and rental income.

	Actual 30-Sep-23 N'000	Company	Actual 31-Dec-22 N'000
11.1 A brief descriptions of the properties held by Company are as follows			
Breadfruit Street Marina Lagos	4,822,000		4,822,000
Land at Pankere Village, Abijo, Ibeju Lekki	2,972,000		2,972,000
Plot C4, Rumuogba Layout, Aba road, Port Harcourt	910,000		910,000
Sani Abacha Estate, Abuja	975,000		975,000
73 Oyemekun street, Akure	31,250		31,250
Property at Millennium Housing estate	85,500		85,500
112 Broad Street, Lagos	1,285,000		1,285,000
	<u>-</u>		<u>-</u>
	<u>11,080,750</u>		<u>11,080,750</u>

A brief descriptions of the properties held by the company in its name are as follows:

Breadfruit Street Marina Lagos	4,822,000	4,822,000
Property at Millennium Housing estate	85,500	85,500
73 Oyemekun street, Akure	31,250	31,250
112 Broad Street, Lagos	1,285,000	1,285,000
Sani Abacha Estate, Abuja	975,000	975,000
Plot C4, Rumuogba Layout, Aba road, Port Harcourt	910,000	910,000
	<u>8,108,750</u>	<u>8,108,750</u>

A brief descriptions of the properties held by the company in the name of Conau Limited are as follows:

Land at Pankere Village, Abijo, Ibeju Lekki	2,972,000	2,972,000
	<u>-</u>	<u>-</u>
	<u>2,972,000</u>	<u>2,972,000</u>

Total investment property **11,080,750** **11,080,750**

11.2 Movement in Investment Properties

Company					
Description	Opening balance N'000	Additions N'000	Disposal/Transfer N'000	Fair value N'000	Closing balance N'000
Breadfruit Street Marina Lagos	4,822,000	-	-	-	4,822,000
Land at Pankere Village, Abijo, Ibeju Lekki	2,972,000	-	-	-	2,972,000
Plot C4, Rumuogba Layout, Aba road, Port Harcourt	910,000	-	-	-	910,000
Sani Abacha Estate, Abuja	975,000	-	-	-	975,000
73 Oyemekun street, Akure	31,250	-	-	-	31,250
Property at Millennium Housing estate	85,500	-	-	-	85,500
112 Broad Street, Lagos	1,285,000	-	-	-	1,285,000
	<u>11,080,750</u>	<u>-</u>	<u>(0)</u>	<u>-</u>	<u>11,080,750</u>

11.3 INVESTMENT PROPERTIES NOT IN THE NAME OF AFRICAN ALLIANCE

FOR THE PERIOD ENDED 30 SEPTEMBER 2023

PROPERTIES	TITLE OF DOCUMENTS	DATE OF ACQUISITION	TITLE DOCUMENT NO	LOCATION	CARRYING AMOUNT N'000
Land at Pankere Village, Ab	Deed of Assignment & Governor's Consent for Application to assignment between Land Owner and Conau Limited	Year 2008	N/A	Abijo GRA Ibeju Lekki, Lagos state	2,972,000

INVESTMENT PROPERTIES IN THE NAME OF AFRICAN ALLIANCE

FOR THE PERIOD ENDED 30 SEPTEMBER 2023

PROPERTIES	TITLE OF DOCUMENTS	DATE OF ACQUISITION	TITLE DOCUMENT NO	LOCATION	CARRYING AMOUNT N'000
Property Breadfruit Street M	Lagos State Government Land Certificate and Deed of Assignment	Year 1960	L03746	13/17 Breadfruit Street, Lagos	4,822,000
Property Rumuogba Layout, Aba road, Port Harcourt	Deed of Assignment & Certificate of Occupancy	Year 2008	N/A	Plot C4, Rumuogba Layout, Aba road, Port Harcourt	910,000
73 Oyemekun street, Akure	Certificate of Right of Occupancy	Year 1983	N/A	73 Oyemekun street, Akure	31,250
Property at Millennium Hou	Lagos State Government Allocation Letter	Year 2004	N/A	Block B House 9B Oba Adeyinka Oyekan Housing Estate Lekki, Lagos	85,500
Duplex at Sani Abacha Esta	Deed of Assignment between Federal Republic of Nigeria represented by EFCC and Conau Limited	Year 2008	N/A	2220 Suez Canal Crescent Sani Abacha Estate, Abuja	975,000
Property 112 Broad Street,	Lagos State Government Land Certificate and Deed of Assignment	Year 1961	L03990	112 Broad Street,	1,285,000
					8,108,750

**NOTES TO THE FINANCIAL STATEMENTS
FOR THE PERIOD ENDED 30 SEPTEMBER 2023**

12 Investment in subsidiary

The company's investment in subsidiary is as stated below:

	Actual 30-Sep-23 N'000	Company Actual 31-Dec-22 N'000
Axiom Air Limited (Note 12a)	3,000,000	3,000,000
Ghana Life Insurance Company Limited (Note 12b)	1,770,741	1,770,741
	4,770,741	4,770,741
Impairment allowance (note 12d)	(4,665,741)	(4,665,741)
	105,000	105,000

12a Axiom Air Limited:-

The movement in Axiom Air Limited is as follows:

At 1 January	3,000,000	3,000,000
Additions, during the period (capital injection)	-	-
Impairment allowance	(3,000,000)	(3,000,000)
	-	-

The company was incorporated on 17 July 2008 to carry on the business of airline owners and management, provide air transport for public use; to provide all necessary and or desirable services incidental to this objective, including booking, reservation, routing and ticketing services, baggage management, flight catering and entertainment and provision of hotel accommodation. The company is wholly owned.

12b Ghana Life Insurance Company Limited

The movement in Ghana Life Limited is as follows:

At 1 January	1,770,741	1,770,741
Additions, during the period (capital injection)	-	-
Impairment allowance	(1,665,741)	(1,665,741)
	105,000	105,000

The company is a subsidiary of African Alliance Insurance Plc. The company is domiciled in Ghana and is permitted by its regulation to carry on the business of life insurance.

12c Movement in the impairment in Ghana life is as follows

	Actual 30-Sep-23 N'000	Company Actual 31-Dec-22 N'000
At 1 January	1,665,741	1,228,013
Impairment charge/(written back) for the year	-	437,728
	1,665,741	1,665,741

12d Movement in impairment allowance in investment in subsidiary

At 1 January	4,665,741	4,228,013
Impairment charge/(written back) for the year	-	437,728
At 30 September	4,665,741	4,665,741

Movement in impairment charge

	At 1 Jan 2023	Additional charge	30-Sep-23
Axiom Air Limited	3,000,000		3,000,000
Ghana Life Insurance company	1,665,741	-	1,665,741
	4,665,741		4,665,741

	Actual 30-Sep-23 N'000	Company Actual 31-Dec-22 N'000
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13 Investment In associate

Investment in Pension Alliance Limited

	-	-
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**NOTES TO THE FINANCIAL STATEMENTS
FOR THE PERIOD ENDED 30 SEPTEMBER 2023**

14	Intangible assets	Company	
		Computer Software N'000	Total N'000
	Cost		
	At 1 January 2023	153,164	153,164
	Additions	13,438	13,438
	At 30 September 2023	166,601	166,601
	Amortisation		
	At 1 January 2023	119,804	119,804
	Charge for the period	10,509	10,509
	At 30 September 2023	130,313	130,313
	Net book amount		
	At 30 September 2023	36,289	36,289
	At 31 December 2022	33,360	33,360

14.1	Intangible asset	Company	
		Computer Software N'000	Total N'000
	Cost		
	At 1 January 2022	134,307	134,307
	Additions	18,857	18,857
	At 31 December 2022	153,164	153,164
	Amortisation		
	At 1 January 2022	104,880	104,880
	Charge for the year	14,924	14,924
	At 31 December 2022	119,804	119,804
	Net book amount		
	At 31 December 2022	33,360	33,360

**NOTES TO THE FINANCIAL STATEMENTS
FOR THE PERIOD ENDED 30 SEPTEMBER 2023**

**15 Property and equipment
Company**

	Land	Building N'000	Motor Vehicles N'000	Furniture & Fittings N'000	Computer Equipment N'000	Office Equipment N'000	Total N'000
Cost							
At 1 January 2023	100,000	188,331	436,753	214,394	306,263	415,699	1,661,441
Additions	-	-	58,151	0	4517	5212	67,880
Disposal	-	-	-	(763)	(176)	(1,341)	(2,280)
Transfer from Investment Properties	-	-	-	-	-	-	-
Derecognition	-	-	-	-	-	-	-
Revaluation	-	-	-	-	-	-	-
At 30 September 2023	100,000	188,331	494,904	213,632	310,604	419,570	1,727,040
Depreciation							
At 1 January 2023	-	4,331	307,490	133,309	244,263	208,670	898,063
Charge for the year	-	2,485	46,564	11,250	23,352	26,842	110,492
Disposal	-	-	-	(273)	(176)	(1,339)	(1,788)
Elimination of accum dep on revaluation	-	-	-	-	-	-	-
Revaluation	-	-	-	-	-	-	-
At 30 September 2023	-	6,816	354,053	144,285	267,439	234,173	1,006,766
Net book amount							
At 30 September 2023	100,000	181,515	140,851	69,347	43,165	185,397	720,274
At 31 December 2022	100,000	184,000	129,263	81,086	62,000	207,027	763,376

Property and equipment

	Land	Building N'000	Motor Vehicles N'000	Furniture & Fittings N'000	Computer Equipment N'000	Office Equipment N'000	Total N'000
Cost							
At 1 January 2022	98,000	170,000	416,641	214,394	301,811	398,256	1,599,102
Additions	(0)	(0)	28,702	0	4,452	17,442	50,595
Disposal	-	-	(8,590)	-	-	-	(8,590)
Transfer from Investment Properties	-	-	-	-	-	-	-
Revaluation surplus	2,000	18,331	-	-	-	-	20,331
At 31 December 2022	100,000	188,331	436,753	214,394	306,263	415,697	1,661,439
Depreciation							
At 1 January 2022	-	950	256,204	115,792	207,109	171,311	751,366
Charge for the year	-	3,381	59,876	17,517	37,154	37,359	155,287
Disposal	-	-	(8,590)	-	-	-	(8,590)
Elimination of accum dep on revaluation	-	-	-	-	-	-	-
Revaluation	-	-	-	-	-	-	-
At 31 December 2022	-	4,331	307,490	133,309	244,263	208,670	898,063
Net book amount							
At 31 December 2022	100,000	184,000	129,263	81,086	62,000	207,027	763,376
At 31 December 2021	98,000	169,050	160,437	98,603	94,702	226,945	847,736

**NOTES TO THE FINANCIAL STATEMENTS
FOR THE PERIOD ENDED 30 SEPTEMBER 2023**

	Actual 30-Sep-23 N'000	Actual 31-Dec-22 N'000
16 Right of Use Assets		
At 1 January	23,490	42,252
Additions	195,935	62,129
Amortizations	(73,518)	(80,890)
	<u>145,906</u>	<u>23,490</u>

17 Statutory deposit

This represents 10% of the regulatory minimum share capital deposited with the Central Bank of Nigeria in accordance with the requirement of section a(i) and section 10(3) of Insurance Act. Interest Income earned on this deposit is included in investment income

	Company Actual 30-Sep-23 N'000	Actual 31-Dec-22 N'000
Statutory deposit	<u>200,000</u>	<u>200,000</u>
Non-current	<u>200,000</u>	<u>200,000</u>
18 Insurance contract liabilities		
GROSS		
Outstanding claims (see note i)	1,537,569	976,098
Unearned premiums (see note ii)	759,858	391,976
Short term insurance contract - Claims incurred but not reported (IBNR) (see note iii)	1,378,589	838,867
Liability on annuity fund (see note iv)	29,768,420	29,903,761
Liability on long term insurance contract - Life fund	<u>7,184,796</u>	<u>7,771,350</u>
<i>Total Insurance liabilities (Gross)</i>	<u>40,629,233</u>	<u>39,882,054</u>
Current	747,179	2,031,909
Non-current	<u>39,882,054</u>	<u>37,850,145</u>
	<u>40,629,233</u>	<u>39,882,054</u>
Recoverable from reinsurers		
Claims reported and loss adjustment expenses	-	-
Unearned premiums	17,070	17,070
IBNR on Short term insurance contract	<u>83,887</u>	<u>83,887</u>
<i>Total reinsurers' share of insurance liabilities</i>	<u>100,957</u>	<u>100,957</u>
NET		
Claims reported and loss adjustment expenses	1,537,569	976,098
Unearned premiums	742,788	374,906
Claims incurred but not reported on Short term insurance contract	1,294,702	754,980
Liability on annuity fund	29,768,420	29,903,761
Liability on long term insurance contract (Life fund)	<u>7,184,796</u>	<u>7,771,350</u>
<i>Total Insurance liabilities (Net)</i>	<u>40,528,276</u>	<u>39,781,097</u>

(i) The movement in outstanding claims during the year was as follows:

	Company Actual 30-Sep-23 N'000	Actual 31-Dec-22 N'000
At 1 January	976,098	968,922
Additions claims incurred during the period (see note 32)	5,656,594	9,483,165
Exchange difference arising from translation		
Claims paid during the period	<u>(5,095,124)</u>	<u>(9,475,989)</u>
At 30 September	<u>1,537,569</u>	<u>976,098</u>
Age of outstanding claims		
0 - 90 days	-	288,505
91 - 180 days	-	203,864
181-270 days	-	137,521
271 -365 days	1,537,569	285,629
366 days and above	<u>-</u>	<u>60,579</u>
	<u>1,537,569</u>	<u>976,098</u>

**NOTES TO THE FINANCIAL STATEMENTS
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(ii) The movement in unearned premium during the year was as follows:

	Actual 30-Sep-23 N'000	Company Actual 31-Dec-22 N'000
At 1 January	391,976	686,723
Change during the year	<u>367,882</u>	<u>(294,747)</u>
At 30 September	<u>759,858</u>	<u>391,976</u>

(iii) The movement in IBNR claims on Short term insurance during the year was as follows:

	Actual 30-Sep-23 N'000	Company Actual 31-Dec-22 N'000
At 1 January	838,867	915,330
Change during the year	<u>539,722</u>	<u>(76,463)</u>
At 30 September	<u>1,378,589</u>	<u>838,867</u>

(iv) The movement in annuity fund during the year was as follows:

	Actual 30-Sep-23 N'000	Company Actual 31-Dec-22 N'000
At 1 January	29,903,761	29,210,367
Change during the year	<u>(135,341)</u>	<u>693,394</u>
At 30 September	<u>29,768,420</u>	<u>29,903,761</u>

(v) The movement in life fund contract (excluding annuity) during the year was as follows:

	Actual 30-Sep-23 N'000	Company Actual 31-Dec-22 N'000
At 1 January	7,771,350	7,309,045
Exchange difference from translation		
Change during the year	<u>(586,554)</u>	<u>462,305</u>
At 30 September	<u>7,184,796</u>	<u>7,771,350</u>

(vi) Insurance contract liabilities at the end of the period were as follows:

	Actual 30-Sep-23 N'000	Company Actual 31-Dec-22 N'000
Outstanding claims	1,537,569	976,098
Unearned premiums	759,858	391,976
Short term insurance contract- IBNR	1,378,589	838,867
Liability on Annuity contract	29,768,420	29,903,761
Liability on long term insurance contract - Life fund	7,184,796	7,771,350
	<u>40,629,232</u>	<u>39,882,053</u>

**NOTES TO THE FINANCIAL STATEMENTS
FOR THE PERIOD ENDED 30 SEPTEMBER 2023**

19 Investment contract liabilities

The investment contract liabilities comprise interest-linked guaranteed investment funds. The movement in the investment contract liabilities is shown below:

	Company	
	Actual 30-Sep-23 N'000	Actual 31-Dec-22 N'000
At 1 January	4,089,863	3,396,155
Deposits received during the year	344,391	654,546
Deposits Admin. No longer required		-
Withdrawals during the year	(1,376,175)	(55,411)
Guaranteed interest in the year	<u>49,013</u>	<u>94,573</u>
At 30 September	<u><u>3,107,092</u></u>	<u><u>4,089,863</u></u>
Non-current	<u><u>3,107,092</u></u>	<u><u>4,089,863</u></u>

Investment contract liabilities consist of group deposit administered funds and account balance of policy holders under investment linked insurance funds. Movement in the relevant funds are detailed below

	Company	
	Actual 30-Sep-23 N'000	Actual 31-Dec-22 N'000
19.1 Liabilities on administered deposits		
At 1 January	103,948	114,191
Deposits received during the year	936	728
Deposit Adm. No longer required		
Withdrawals during the year	-	(12,000)
Guaranteed interest in the year	<u>780</u>	<u>1,029</u>
At 30 September	<u><u>105,663</u></u>	<u><u>103,948</u></u>
19.2 Investment linked fund		
At 1 January	3,985,915	3,281,964
Deposits received during the year	343,455	653,818
Withdrawals during the year	(1,376,175)	(43,411)
Guaranteed interest in the year	<u>48,234</u>	<u>93,544</u>
At 30 September	<u><u>3,001,429</u></u>	<u><u>3,985,915</u></u>
	Company	
	Actual 30-Sep-23 N'000	Actual 31-Dec-22 N'000
20 Trade payable		
Unallocated premium deposits	595,397	533,466
Due to co-insurance	23,408	3,929
Due To/from Reinsurance	39,322	62,943
Trade creditors	<u>336</u>	<u>336</u>
	<u><u>658,463</u></u>	<u><u>600,674</u></u>
Current	<u><u>658,463</u></u>	<u><u>600,674</u></u>

20i	Unallocated premium deposits		
	At 1 January	533,466	709,892
	Movement during the year	<u>61,931</u>	<u>(176,426)</u>
	At 30 September	<u>595,397</u>	<u>533,466</u>

The amount represent premium deposits for which policy holders are yet to be identified due to inadequate information. The Company has already set up a committee to review it and make recommendations to management. Please see below the age analysis of the payables

S/N	Age of Unallocated Premium Deposit	Company	
		30-Sep-23 N'000	31-Dec-22 N'000
1	0 - 90 days	-	-
2	91- 180 days	-	-
3	181-270 days	-	-
4	271 -365 days	595,397	533,466
5	366 days and above	-	-
		<u>595,397</u>	<u>533,466</u>

	Company	
	Actual 30-Sep-23 N'000	Actual 31-Dec-22 N'000
21 Other payables and accruals		
Agent savings	168,501	165,437
PAYE and other withholding taxes payable	111,151	112,450
Provisions and accruals	3,581	23,131
Rent receivable	167,452	123,196
Other creditors	<u>148,644</u>	<u>284,713</u>
Current (Payable within the period)	<u>599,329</u>	<u>708,927</u>

	Company	
	Actual 30-Sep-23 N'000	Actual 31-Dec-22 N'000
22 Retirement benefit asset	<u>-</u>	<u>-</u>
22i Retirement benefit liabilities		
Staff pension scheme	37,004	47,346
Staff defined benefit plan	<u>-</u>	<u>-</u>
	<u>37,004</u>	<u>47,346</u>

		Company	
		Actual 30-Sep-23 N'000	Actual 31-Dec-22 N'000
23	Borrowings		
	<i>Secured -at amortised cost</i>		
	Overdraft Facility		-
	Term Loan (i)	-	22,444
		<u>-</u>	<u>22,444</u>
		<u>-</u>	<u>22,444</u>

- (i) Term loan represents a cash backed loan facility of N80million granted by First bank, the facility has a tenor of 24 months at an interest rate of 5%

		Company	
		Actual 30-Sep-23 N'000	Actual 31-Dec-22 N'000
(ii)	Movement in overdraft facility & Term Loan		
	At 1 January	22,444	54,034
	Additions	-	-
	Interest expense		10,534
	Repayment	(22,444)	(42,124)
	At 30 September	<u>-</u>	<u>22,444</u>

		Company	
		Actual 30-Sep-23 N'000	Actual 31-Dec-22 N'000
24	Tax payable		
	<i>Company income tax payable:</i>		
	At 1 January	558,186	582,882
	Charge to profit and loss	4,631	5,304
		-	-
	Tax paid in the year		(30,000)
	At 30 September	<u>562,817</u>	<u>558,186</u>
	Current	<u>562,817</u>	<u>558,186</u>

**NOTES TO THE FINANCIAL STATEMENTS
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25 Deferred tax liability	Company Actual 30-Sep-23 N'000	Actual 31-Dec-22 N'000
The analysis of deferred tax liabilities is as follows:		
Deferred tax liability to be incurred within 12 months	92,107	92,107
	<u>92,107</u>	<u>92,107</u>
The movement on the deferred tax liabilities account is as follows:		
25a At 1 January	92,107	92,107
Tax charge recognised in other comprehensive income	-	-
Transfer of liabilities upon liquidation of subsidiaries	-	-
Foreign exchange difference arising from translation	-	-
Income statement charge	-	-
At 30 September	<u>92,107</u>	<u>92,107</u>
Non- current	<u>92,107</u>	<u>92,107</u>
25b Deferred tax asset		
The movement on the deferred tax asset account is as follows:		
At 1 January	146,476	146,476
Exch	-	-
Foreign exchange difference arising from translation	-	-
Income statement charge	-	-
At 30 September	<u>146,476</u>	<u>146,476</u>
Non- current	<u>146,476</u>	<u>146,476</u>
26 Share capital	Actual 30-Sep-23 Number	Actual 31-Dec-22 Number
<i>Ordinary Shares</i>		
26a Authorised share capital ('000)	<u>30,000,000</u>	<u>30,000,000</u>
	N'000	N'000
Paid up share capital of 20.585 billion ordinary shares of 50 kobo each	10,292,500	10,292,500
26b Paid up/(Cancelled) during the year	-	-
At 30 September	<u>10,292,500</u>	<u>10,292,500</u>
<i>Number of shares</i>	30-Sep-23	31-Dec-22
Shares at the beginning of the year('000)	20,585,000	20,585,000
Paid up/(Cancelled) during the year ('000):	-	-
At 30 September	<u>20,585,000</u>	<u>20,585,000</u>
26c Share premium	Company Actual 30-Sep-23 N'000	Actual 31-Dec-22 N'000
At 1 January	14,365,133	14,365,133
Share Premium cancellation	-	-
Capital Restructuring account	-	-
At 30 September	<u>14,365,133</u>	<u>14,365,133</u>
27 Contingency reserves		
At 1 January	1,922,694	1,854,545
Transfer from retained earnings	49,153	68,149
At 30 September	<u>1,971,847</u>	<u>1,922,694</u>
In accordance with the insurance act, a contingency reserve is credited with the greater of 1% of total premiums or 10% of net profit. This shall accumulate until it reaches the amount of greater of minimum paid-up capital or 50 percent of net premium		
28 Retained earnings	Company Actual 30-Sep-23 N'000	Actual 31-Dec-22 N'000
At 1 January	(37,457,346)	(32,421,386)
Transfer to contingency reserves	(49,153)	(68,149)
Profit/(Loss) for the period	<u>(2,889,681)</u>	<u>(4,967,811)</u>
At 30 September	<u>(40,396,180)</u>	<u>(37,457,346)</u>

**NOTES TO THE FINANCIAL STATEMENTS
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29 Fair value reserves	Actual 30-Sep-23 N'000	Company Actual 31-Dec-22 N'000
At 1 January	15,398,382	1,616,522
Gain/(Derecognition) on revaluation on land and building		20,331
Change in value of FVOCI financial assets (net of taxes)	398	13,761,529
Additional reserve on repurchase of PAL Pension Limited	-	-
	<u>15,398,780</u>	<u>15,398,382</u>

29a Fair value changes-statement of comprehensive income	Actual 30-Sep-23 N'000	Company Actual 31-Dec-22 N'000
Gain/(Derecognition) on revaluation on land and building	-	20,331
Change in value of available for sale financial assets (net of taxes)	398	13,760,750
Additional reserve on repurchase of PAL Pension Limited	-	-
	<u>398</u>	<u>13,781,081</u>

	Actual 30-Sep-23 N'000	Company Actual 30-Sep-22 N'000
30 Gross premium income		
Individual life	1,812,446	2,064,545
Group life	2,343,825	2,206,165
Annuity	26,247	36,087
Takaful	437,766	429,082
Esusu	294,991	478,887
Gross premium written	4,915,276	5,214,766
Unearned premium		
Group life	(367,882)	(308,706)
	<u>4,547,394</u>	<u>4,906,060</u>
31 Insurance premium ceded to reinsurers		
Gross reinsurance expense	(56,082)	(126,475)
Changes in prepaid reinsurance	-	-
	<u>(56,082)</u>	<u>(126,475)</u>
32 Fees and commission income		
Group Life	16,098	31,762
Individual Life	662	-
	<u>16,760</u>	<u>31,762</u>

Fee income represents commission received in direct business and transactions ceded to reinsurance companies during the year under review

NOTES TO THE FINANCIAL STATEMENTS
FOR THE PERIOD ENDED 30 SEPTEMBER 2023

33 Insurance claims and loss adjustment expenses

Insurance claims and loss adjustment expenses

Company	30-Sep-23		
	N'000 Gross	N'000 Reinsurance	N'000 Net
Individual life	1,377,610	-	1,377,610
Group life	545,911	-	545,911
Annuity	3,000,902	-	3,000,902
Takaful	404,246	-	404,246
Esusu	(233,545)	-	(233,545)
	5,095,124	-	5,095,124
Increase in the expected cost of claims for unexpired risks	561,471	-	561,471
Claims incurred during the year	5,656,594	-	5,656,594
IBNR on Short term insurance contract	539,722	-	539,722
	6,196,316	-	6,196,316

Insurance claims and loss adjustment expenses

	30-Sep-22		
	N'000 Gross	N'000 Reinsurance	N'000 Net
Individual life	1,312,554	-	1,312,554
Group life	1,356,229	-	1,356,229
Annuity	3,266,719	-	3,266,719
Takaful	594,668	-	594,668
Esusu	815,737	-	815,737
		-	
Claims paid during the year	7,345,906	-	7,345,906
Changes in outstanding claims	(348,257)	-	(348,257)
Claims incurred during the period	6,997,649	-	6,997,649
IBNR on Short term insurance contract	(902,815)	-	(902,815)
	6,094,834	-	6,094,834

34 Underwriting expenses

	Company	
	Actual 30-Sep-23	Actual 30-Sep-22
	N'000	N'000
Acquisition cost	615,187	399,015
Maintenance cost	417,474	547,483
	1,032,661	946,498

**NOTES TO THE FINANCIAL STATEMENTS
FOR THE PERIOD ENDED 30 SEPTEMBER 2023**

		Company	
		Actual	Actual
		30-Sep-23	30-Sep-22
		N'000	N'000
35	Changes in long term insurance contracts		
	Changes in annuity fund	(135,341)	(2,957,514)
	Changes in individual life fund excluding annuity	(586,554)	(125,123)
		(721,895)	(3,082,637)
36	Other income		
	Rental income	78,704	121,583
	Gain upon disposal of investment properties	-	-
	Gain on disposal of PPE	-	930
	Gain on disposal of equities	-	-
	Sundry charges on investment linked products	-	-
	Foreign exchange gain/(loss)	340,435	8,965
	Disposal of investment	-	121,685
	Sundry(loss)/ income	7,200	36,622
		426,339	289,784
37	Fair value gain/(loss) on financial asset		
		Actual	Actual
		30-Sep-23	30-Sep-22
		N'000	N'000
	Bonds	(28,749)	(210,793)
	Quoted equities	61,497	15,911
		32,748	(194,882)
38	Investment income		
		Actual	Actual
		30-Sep-23	30-Sep-22
		N'000	N'000
	Interest income on cash and bank balances	14,916	37,689
	Interest income on bonds	682,831	682,311
	Investment income on planned asset	-	-
	Dividend Income	8,187	10,597
	Interest income on statutory deposit	4,922	8,387
	Interest income on loans and receivables	2,488	2,160
		713,344	741,144
39	Profit/(Loss) from investment contract:		
	Investment income from investment contract liabilities	74	188
	Deposit administration no longer required	(49,013)	(71,656)
	Guaranteed interest	(48,940)	(71,468)
40	Impairment on assets		
		Actual	Actual
		30-Sep-23	30-Sep-22
		N'000	N'000
	Provision on due from related party no longer required	-	-
	Mortgage and policy loans	-	-
	Cash & cash equivalent	-	-
	Investment securities	-	-
	Unquoted equities	-	-
	Staff account receivables	-	-
	Other receivables	-	-
	Short term loan	-	-

**NOTES TO THE FINANCIAL STATEMENTS
FOR THE PERIOD ENDED 30 SEPTEMBER 2023**

41 Employee benefit expenses

	Company	
	Actual 30-Sep-23	Actual 30-Sep-22
	N'000	N'000
Wages and salaries	527,276	410,025
Other Staff Cost	168,827	188,712
Defined contribution pension costs	30,991	33,275
	-	-
	<u>727,094</u>	<u>632,012</u>

42 Other operating and administrative expenses

	Company	
	Actual 30-Sep-23	Actual 30-Sep-22
	N'000	N'000
Directors' emoluments	18,846	20,300
Other Director Costs	-	-
Bank Charges	11,233	21,077
Auditors' remuneration	-	-
Depreciation	110,492	120,437
Amortisation on Rights of Use assets	73,518	64,001
Amortisation	10,509	8,925
NITDA	-	8,309
Consultancy expenses	109,941	85,650
Security	7,773	10,009
Rent and rates	17,084	12,428
General maintenance and running costs	111,038	103,566
Advert and Publicity	145,686	119,919
Telecommunications	11,158	9,707
Dues and Subscription	4,887	9,591
Travels and accommodation	172,625	188,111
Insurance supervision fees	-	20,000
Insurance expenses	34,124	15,090
Printing and stationeries	3,490	1,755
Industrial training fund	10,620	11,555
Entertainment	17,320	8,177
Regulatory levies	24,946	1,750
Loss on Disposal of investment	237,580	-
Foreign exchange loss	-	-
Nigeria Police Levy	-	-
Leasehold Amortization	11,624	24,192
Office ICT expenses	105,016	130,384
Donation	2,750	920
Office cleaning expenses	16,423	22,080
Medical expenses	-	1,194
Other regulatory fees and fines	-	-
Other Administrative Expenses	21,436	78,470
	<u>1,290,118</u>	<u>1,097,595</u>

43 ECL Allowance on cash and cash equivalents and Financial A

	Company	
	Actual 30-Sep-23	Actual 30-Sep-22
	N'000	N'000
Cash & Cash Equivalents	(11,090)	4,999
Amortised Cost-bonds	490	(1,307)
Agency Loans	2,794	25,632
Loans and Receivables	127	(10,550)
	<u>(7,679)</u>	<u>18,775</u>

44 Finance cost

	Company	
	Actual 30-Sep-23	Actual 30-Sep-22
	N'000	N'000
Interest expense on borrowings	-	-

45 Income tax expense

	Company	
	Actual 30-Sep-23	Actual 30-Sep-22
	N'000	N'000
Current tax on profits for the year (note 24)	4,631	2,345
Capital gains tax	-	-
Deferred tax charge for the year	-	-
	<u>4,631</u>	<u>2,345</u>